There are four different ways that a stock price can rise:

1. Growth: As the company grows, the market price of the stock will go up in line with earnings, dividends, and book value. This is generally true even if the company is sparsely followed.
2. Acquisition: The company can be acquired by a larger company at a price well above the market.
3. Repurchase: If a stock sells well below its economic value, the company may repurchase sizable blocks of its own shares.
4. Revaluation: As a company grows and prospers, it can cross the threshold of institutional interest. The ugly duckling is pronounced a swan, and its price-to-earnings ratio increases.

Good-quality smaller companies can produce stock market profits by any of these four mechanisms. The best hope for established, big-company favorites is the first—only one out of four. Large companies have so many shares outstanding that buyback programs seldom have a meaningful impact. And though in recent years we've seen giant companies swallowed by other giants, small companies are obviously more likely targets—and the buyer almost invariably pays well above the market price in order to rake in the shares. Some of my best gains over the years have come from these takeovers.

In our experience, there is no reason to worry about nonrecognition: the sound economic values of good small companies get reflected in their stock prices sooner or later.

A Tale of Two Strategies

Several years ago one of my relatives, recently widowed, asked for my advice. She expected to live on the income thrown off by the investments that she and her husband had made over the years. Should she, then, put nearly all